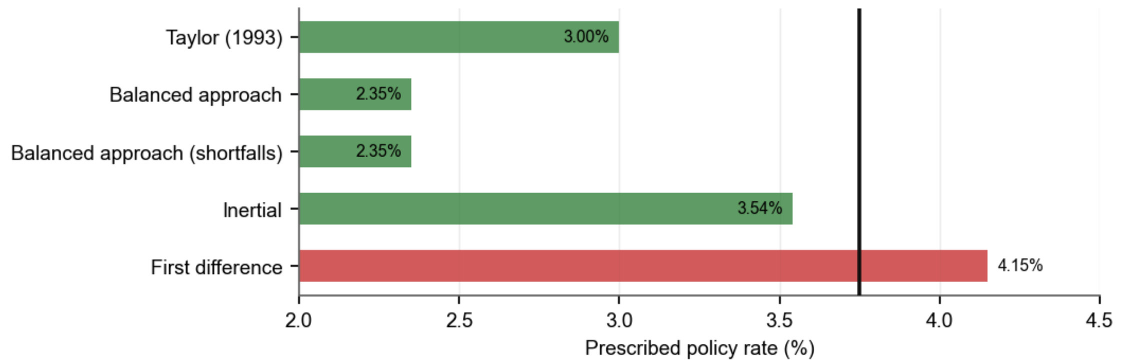
Macro Rate Radar — Bank of England

Sun 16th August 2026 | XP Inc. Global Macro

Simple monetary-policy rules — the Taylor-rule family relating the policy rate to inflation and the output gap — evaluated on current public data (inflation 2.60% vs a 2.00% objective, r* 0.75%, output gap -1.30pp), and set against the meeting path the futures strip currently prices. The median of the five rules sits at **3.00%**, 75bp below the current policy setting of 3.75%, with 180bp of dispersion across rules. Taken to the July 2027 meeting, the rule path implies 191bp more easing than the futures strip currently prices — a divergence that may be worth a closer look. Note: r*, NAIRU are an assumption for this bloc rather than a published estimate; the prescription moves with it.

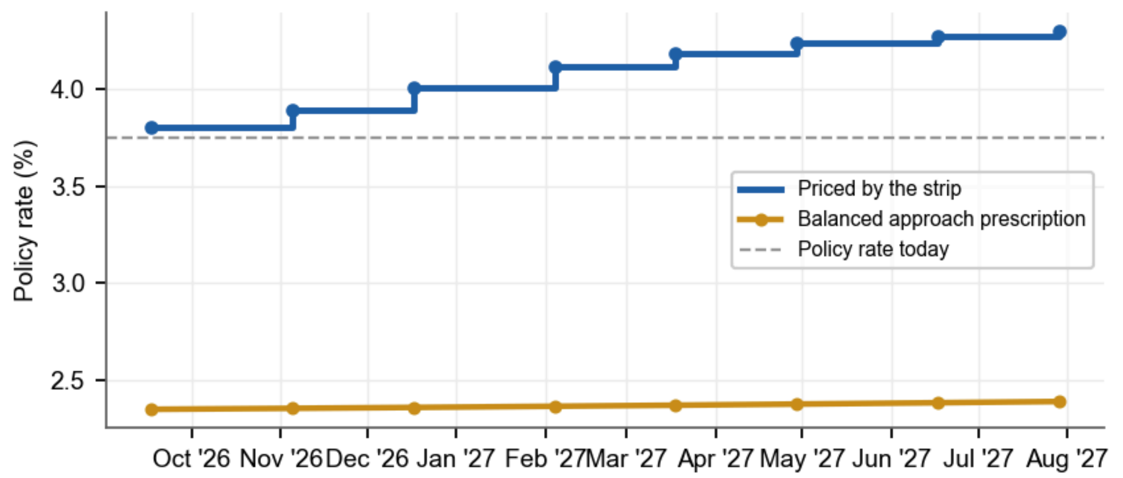
POLICY RATE	MEDIAN RULE	RULE DISPERSION	VS THE STRIP
3.75%	**3.00%**	**180 bp**	**-191 bp**
current setting	-75 bp vs policy	highest minus lowest	prescribed − priced, furthest meeting

THE FIVE RULES — PRESCRIPTION VS THE CURRENT SETTING



Rule	Prescribes	vs policy (bp)	Working
Taylor (1993)	3.00%	-75	`0.75 + 2.60 + 0.5×(2.60 − 2.00) + 1.0×(-0.65) = 3.00%`
Balanced approach	2.35%	-140	`0.75 + 2.60 + 0.5×(2.60 − 2.00) + 2.0×(-0.65) = 2.35%`
Balanced approach (shortfalls)	2.35%	-140	`0.75 + 2.60 + 0.5×(2.60 − 2.00) + 2.0×min(-0.65, 0) = 2.35%`
Inertial	3.54%	-21	`0.85×3.75 + 0.15×2.35 = 3.54%`
First difference	4.15%	+40	`3.75 + 0.5×(2.60 − 2.00) + (-0.65 − -0.75) = 4.15%`

PRESCRIBED VS PRICED — RULE PATH AGAINST THE FUTURES STRIP



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Meeting	Priced policy (%)	Priced cum (bp)	Rule prescribes (%)	Spread (bp)
17 Sep 2026	3.806	+5.6	2.35	**-146**
05 Nov 2026	3.894	+14.4	2.35	**-154**
17 Dec 2026	4.009	+25.9	2.36	**-165**
04 Feb 2027	4.114	+36.4	2.37	**-175**
18 Mar 2027	4.183	+43.3	2.37	**-181**
29 Apr 2027	4.235	+48.5	2.38	**-186**
17 Jun 2027	4.273	+52.3	2.38	**-189**
29 Jul 2027	4.297	+54.7	2.39	**-191**

Market path from the exchange settlement strip (2026-08-14), inverted into a per-meeting step path. A positive spread means the rules point to a higher policy rate than the curve has priced at that meeting; a negative spread the reverse.

DATA SOURCES

inflation	ONS · UK core CPI (y/y) (2026-06-01)
policy rate	Bank of England · Bank Rate (2026-08-13)
unemployment	ONS · UK unemployment rate (2026-04-01)
r*	assumed 0.75% — no published estimate for this bloc
NAIRU	assumed 4.25% — not published for this bloc

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